

But these are two distinct businesses, with entirely separate functions. No conditions will be permitted which might create conflicts affecting the interests of our several types of customers.

TO HELP OUR CUSTOMERS APPRAISE THE POSSIBILITY OF BIAS

In practically all transactions for account of customers the firm will act only as a commission broker. However, in transactions involving securities in which the firm acts as principal dealer, the customer will be notified in advance.

When supplying informative analytical printed reports concerning a security in which the firm is not acting as principal, the firm intends to indicate in such reports the extent of the aggregate direct and indirect ownership of such security as of the date of the report by the firm and its general partners. Such information will be given as follows: if the aggregate value of such holdings is less than \$50,000, it will be described as a "small interest"; if between \$50,000 and \$100,000, it will be described as a "substantial interest"; if over \$100,000, it will be described as a "large interest." The purpose of such disclosure is to help the customer estimate the possibility and extent of bias on the part of the firm in its presentation of facts relating to a particular security.

This has been a general objective of brokers during recent years, but we intend to test this specific practical application as a part of our plans for the year 1940.

PLEDGE AID FOR STILL FURTHER PROTECTION

You may be interested in knowing how your senior partners feel about the SEC. We'll tell you. We are in full accord with